

HOUSE No. 5415

The Commonwealth of Massachusetts

HOUSE OF REPRESENTATIVES

MINORITY REPORT
ON THE
INITIATIVE PETITION
OF
CHRISTOPHER ROBERT ANDERSON
AND OTHERS
FOR THE PASSAGE OF AN ACT
RELATIVE TO LIMITING STATE TAX COLLECTION
GROWTH AND RETURNING SURPLUSES TO TAXPAYERS
(SEE HOUSE, NO. 5006); AND THE
INITIATIVE PETITION
OF
JAMES JOHN STERGIOS
AND OTHERS
FOR THE PASSAGE OF AN ACT
RELATIVE TO REDUCING THE STATE PERSONAL
INCOME TAX RATE FROM 5% TO 4%.
(SEE HOUSE, NO. 5007)

May 6, 2026.

MINORITY REPORT.

Laws Relative to Tax Policy

Reducing the income tax would place an average of \$1,500 in the pockets of Massachusetts families, providing meaningful financial relief and helping to make the Commonwealth more affordable across essential cost areas, including housing, childcare, electricity, fuel, and healthcare. Massachusetts is amongst the least affordable states to live in with one of the highest rates of net out-migration. Our neighbors, friends, and family are leaving and taking with them the state's economic future. The Commonwealth ranked last in private sector job creation, a bleak illustration of the state's waning economic vitality. Families and individuals of all income brackets are leaving the state in search of a more affordable cost of living because of the state's misaligned priorities, and without a significant change in course, the consequences of these policies will not meet the needs of residents. The Commonwealth turned a blind eye to reforming the state's so-called "Right-to-Shelter Law", which siphoned a multi-billion-dollar hole in the state budget, despite legislative efforts to reign in the law. Further, at its peak, more than \$3,300 was spent per week per family, many of whom were not legally present and could not be legally permitted to contribute to the state's economy by entering the state's workforce. The Commonwealth's clean energy and climate plan adopted in the Global Warming Solutions Act has further exacerbated the affordability crisis. During the hearing for these petitions, some provided testimony suggested that a 1% cut to the state income tax was insignificant for Massachusetts residents. Providing tax relief is not simply a matter of economic policy; it is an acknowledgment of the everyday challenges facing residents and a commitment to making Massachusetts a place where people can afford to live, work, and build their futures. If Massachusetts hopes to remain competitive with neighboring states, it must meaningfully address the financial pressures residents face. Residents of the state need relief from the unaffordable policies that the state legislature and Governor have adopted, driving up the costs of housing and energy. These two initiative petitions provide a practical pathway toward relieving some of this burden by reducing the tax load on individuals and ensuring that the Commonwealth does not collect revenue beyond what is reasonably needed to fund essential services.

For these reasons, the minority of the Committee recommends that the General Court adopt Initiative Petition 25-18, House 5007, Initiative Petition for a Law Relative to Reducing the State Personal Income Tax Rate from 5% to 4%, and Initiative Petition 25-17, House 5006, Initiative Petition for a Law Relative to Limiting State Tax Collection Growth and Returning Surpluses to Taxpayers.

Senator.
Ryan C. Fattman